Despite giving his public approval, Honecker began wondering how this excessive transformation of industry would end up. He was disturbed to see Ulbricht draw on advice from young intellectuals – a development that created a new balance of power at the highest level. To make matters worse, Ulbricht began stressing that education in managerial and technical sciences was the route to social advancement and material rewards.

That summer, Honecker was equally unsettled when, following the cultural-political thaw in Moscow, Ulbricht introduced a less constipated approach to youth issues. For the first time, Western dance music was allowed to be played on the radio and, as if that wasn't bad enough, it was no longer forbidden to dance the 'twist', and even an LP and two singles by the Beatles were released in the GDR. To justify the move, the youth magazine Neues Leben, explained how the four working-class boys from Liverpool were 'protesting against capitalism with their music' – thus, the Beatles fitted snugly into the ideological world of the SED (the Rolling Stones remained banned). For the first time, GDR television gained the ability to buy and broadcast Western films and critical young writers such as Wolf Biermann were allowed to read from their works to packed auditoriums. Publishers brought new releases by Western authors onto the market. Works by Carl Zuckmayer, Ingeborg Bachmann, Max Frisch and other authors who were previously unknown in the GDR were published, and theatres presented productions by modern Western playwrights. At the same time, films such as The Divided Heaven based on the novel by Christa Wolf attracted international attention. Eager for new ideas, Ulbricht even suggested West German newspapers such as Die Zeit or the Süddeutsche Zeitung be distributed in the GDR if there was a guarantee that Neues Deutschland would be sold in the FRG; the idea failed due to reservations in Bonn.

Around this time, more than one political journalist, including Klaus Tauber, detected a new Honecker-Old Guard axis. 'To their regret, it was not the Party apparatchiks who were responsible for implementing the reforms, but rather young, decisive, independent managers,' Taubert recounted. 'During this time, Apel and Mittag became a danger for the disgruntled hardliners who were unwilling to reform, their hope for self-preservation lay with the "Crown Prince" Erich Honecker.' Well placed as